

Financial Accounting

(BUSB-402)

Fundamental Concepts in Accounting

Q. What is Accounting?

Accounting:

⇒ Accounting is the art of recording, classifying and summarizing in a significant manner and in terms of money, transactions and events.

Recording → Record all financial transactions in journal.

Classifying → Classify all transaction in ledgers.

Summarizing → Summarize in Trial & Balance final A/c.

Analysing → Analyse the financial position and result of the business.

Communicating → Communicate the financial position to the users of financial statements.

Note:

- Not a math.
- Foreign language for the business

Q. What is transaction?

⇒ Any dealing between two or more person involving money known as transaction.

In other words:-

⇒ A business event which can be measured in terms of money and which must be recorded in books of account is called a "Transaction".

Types of Transactions

1. Cash Transaction:

⇒ If the value of a transaction is met in cash immediately, it is called cash transaction.

⇒ Key characteristics:

○ Immediate exchange: money changes hands at the time of transaction.

○ No credit involved. There is no promise of future payment.

○ Relative easier to record.

⇒ Cash transactions primarily affect two accounts:

1. Cash account
2. Revenue or expense account

e.g. ○ Furniture bought for cash.

○ Buying a coffee with cash.

↳ Walk into a coffee shop

↳ Order a latte and pay for

↳ it with a \$5 bill.

↳ The cashier gives coffee and change

↳ money is paid immediately with actual money, and there was no promise to pay later.

2. Credit Transaction:

⇒ If the value of a transaction is not met in cash immediately, it is called credit transaction.

⇒ A credit transaction is like borrowing.

⇒ Like buy something now and promising to pay it back with interest later.

⇒ e.g.

1. Furniture purchased on account or on credit.

2. Using a credit card.

3. Taking out a loan

Note: it is basically, buying something on trust with a promise to pay later.

3. External transaction:

⇒ A transaction taking place ^{with an} outside person or organization, is called external transaction.

⇒ it is like buying supplies from another company or selling something to a customer.

⇒ Any business deal you have with people or organizations outside your company is an external transaction.

e.g.

- Paying electricity bill
- Buying flour from a supplier
- Selling a loaf of bread to a customer.

4. Paper Transaction:

⇒ When there is no question of meeting the value of a transaction, it is regarded as a paper transaction.

⇒ it is a way of doing business without using computers or electronic methods.

⇒ When we use physical documents to complete a financial deal.

e.g.

1. Paying rent with check.
 - Write a check for rent amount
 - Give the check to the landlord
 - The landlord takes the check to the business bank to cash it.

5. Internal transaction:

⇒ A financial activity that does not involve anyone outside of company

⇒ Like something happens within your business.

⇒ A transaction with which no outside person or organization involved, is called internal transaction.

e.g.

1. Loss of furniture by fire.
2. Paying employees salaries from the business account.

Define monetary events?

⇒ Events which are related with money, i.e. which change the financial position of a person are known as monetary events.

⇒ These are the events that business record in their accounting books.

for example:

- Paying rent
- Buying new equipment
- Selling a product for cash
- paying salaries to employee

Q. Define Non-monetary events?

⇒ Non-monetary are happenings that don't involve money but still impact a business.

⇒ These events don't directly affect the financial statements in terms of currency but can have indirect impact on the business's value or operations.

⇒ These events don't change the financial position of a person.

for example:

- change in technology
- natural disasters
- Product recalls.

Q. Define Quantitative change?

⇒ This change the total value of assets and liabilities of a business concern.

⇒ it refers to a change that can be measured and expressed numerically.

example:

- o Machinery of Rs. 50000 is destroyed. This transaction reduce the total value of assets.

Q. Define Qualitative change?

⇒ This cause increase or decrease in the different elements of assets & liabilities, but the value of total assets and total liabilities remains unchanged.

⇒ it is change in kind or type rather than just change in amount or size.

example:

- o A child learning to talk
- o A company shifting its business model

Q. Define Accounting equation?

⇒ The expression of the equality of an entity's assets with the claims against them is referred to as accounting equation.

$$\therefore \text{Assets} = \text{claims against assets}$$

⇒ The accounting equation states that a company's total assets are equal to the sum of its liabilities and owner's equity.

$$\text{Assets} = \text{Liabilities} + \text{owner's equity}$$

⇒ This equation ensures that balance sheet always balances. Any transaction made by a company will affect at least two of these components.
example:

- o You borrow \$5,000 from the bank to buy more equipment.

Assets: Equipment worth \$15,000

Liabilities: Loan of \$5,000

owner's equity: Still \$10,000

Account:

$$\$15,000 = \$5,000 + \$10,000$$

Q. Define equity?

⇒ Equity is the amount of money that would be left for the owners if a company sold all its assets and paid off all its debts.

⇒ Equity is the sum of liabilities and owner's equity.

formula: $\text{Liabilities} + \text{owner's equity}$

formula 2: $\text{Assets} - \text{Liabilities}$

⇒ In simple, equity is the owner's investment in business plus the retained earnings.

ex: Buy a car \$20,000 → Assets: equity = \$20,000 - \$5,000
You pay \$5,000 in cash & borrow \$15,000 from bank. = \$5,000
↳ Liabilities

Q. Define book keeping?

⇒ Book keeping is the art of recording monetary transactions in the books of accounts in a proper manner. And it is the part of the process of accounting in business.

⇒ it is about recording all the money that comes and goes out of a business.

⇒ This includes:

- Income
- Expenses

example:

⇒ Imagine someone owns a small bakery.

⇒ Bookkeeping would involve recording transactions like:

- Selling a loaf of bread for \$5.
- Buying flour for \$10.
- Paying employee salary
- Paying rent for bakery

Q. Define business?

⇒ Any legal activity which is done for the purpose of earning profit is known as business.

In other words:

⇒ Any activity that is started for making money by producing or buying and selling products (such as services and goods).

ex:

- Grocery stores, clothing boutiques
- Hair salons
- E-commerce stores
- Apple, Google, Microsoft
- Banks, companies
- Food processing plants

Types of Accounting

(i) Cost Accounting:

- The main object of cost accounting is to determine the cost of goods are manufactured or produced by the business.
- It also helps the management of the business in controlling the costs by indicating avoidable losses and wastes.

(ii) Managerial Accounting:

- The main objective of this accounting is to communicate the relevant information periodically to the management of the business to enable it to take suitable decisions.

(iii) Financial Accounting:

- The main purpose is to ascertain the true results (Profit or loss) of the business operations during a particular period of time and to state the financial position of the business on a particular point of time.